

Homework Assignment 2

Empirical Analysis for Policymakers

Sciences Po Paris - Reims

Leave your answers as comments in your code for specific questions. Submit **a single .zip file containing your R script and a .pdf file together.**

Exercise 1

Complete **Task 3: R^2 and goodness of fit** from the week 5 slides (p.33) and save your answers, with your comments, in an R script.

Exercise 2

Read the Acemoglu et. al. (2001) paper on Moodle and answer the questions below. **Using ChatGPT generated answers for this part will get you a zero for your whole assignment.**

1. What is the main research question of this paper?
2. What hypothesis do the authors propose to explain the relationship between colonial history and economic development?
3. Describe the role that settler mortality played in the formation of institutions according to the authors.
4. The paper argues that different colonial institutions persisted after independence. Do you agree with the idea that colonial-era institutions can have such a lasting impact? Provide examples to support your argument.
5. The authors compare countries such as the United States and Congo to illustrate different colonial strategies and outcomes. How does this comparison help strengthen their argument?
6. The authors make use of settler mortality as an instrumental variable. Without diving into the technical details of the instrumental variables method, why do you think this variable is appropriate to estimate the effect of institutions on economic performance? Can you think of any limitations of using settler mortality in this context?
7. How do the authors address the potential issue that high mortality in colonies might be directly related to current economic conditions (e.g., through disease), rather than through institutions?